Northwind Logistics, Inc.

BEARISH

INVESTMENT MEMO · Q3 FY2025 earnings call transcript, October 23, 2025 (fictional sample document)

Management cut revenue and EPS guidance, pulled the FY2026 operating ratio target, and refused to call a bottom with October tracking at September's -5.6%, while the positives — last-mile profitability, 5.1% yield, Laredo — are too small to offset core network deterioration.

REVENUE	ADJUSTED EPS	OPERATING RATIO	TONNAGE PER DAY
$1.39B	**$1.71**	**89.8%**	**-4.3%**
+0.7% YoY	-4.5% YoY	+140 bps YoY	Sept -5.6%

SITUATION

Northwind cut FY guidance 90 days after raising it. Tonnage per day fell 4.3% with September at -5.6% and October tracking in line. Operating ratio worsened 140 bps to 89.8%. Management declined to reaffirm the FY2026 mid-87s OR target and will not call a bottom.

THE TWO CASES

BULL

1. **Pricing held at 5.1% ex-fuel yield despite competitor discounting**
   Whitfield: 'Our pricing held. Revenue per hundredweight, excluding fuel surcharge, increased 5.1%,' even after walking away from ~$40M of annualized revenue.
2. **Last-mile turned profitable for the first time ever**
   Last-mile revenue $204M, +19% YoY, at 0.4% operating margin; Whitfield said 'nothing one-time in it,' driven by insourcing off purchased transportation.
3. **Balance sheet and capex flexed down fast**
   FY capex cut to $360M from $410M, San Antonio deferred, buybacks moderated to $20M, FCF $88M, net leverage 1.4x adjusted EBITDA.

BEAR

1. **Guidance cut hard one quarter after a raise**
   FY revenue to $5.55–$5.65B from $5.75–$5.85B; adjusted EPS to $6.60–$6.85 from $7.10–$7.40. Whitfield: 'I own that the guidance was too optimistic on volume.'
2. **FY2026 mid-87s operating ratio target withdrawn**
   Lee said it is not 'appropriate to reaffirm that target today'; FY2026 guidance deferred to January amid uncertainty on industrial recovery timing.
3. **Wages at ~6% run above yield guided to ~4.5%**
   Lee called the wage-yield gap 'a structural headwind that doesn't depend on the cycle,' requiring density gains while Q4 tonnage is guided down 4–6%.

CATALYSTS

FY2026 guidance and OR target update	January
Q4 results: tonnage -4% to -6%, yield ~4.5%	Q4 FY2025
San Antonio terminal opening after deferral	Fiscal 2026

STILL TO ANSWER

1. Where do the new FY EPS range of $6.60–$6.85 and the lowered revenue range sit versus current consensus after the cut?
2. How does Northwind's -4.3% tonnage and 89.8% operating ratio compare with LTL peers reporting the same quarter?
3. What is the revenue and margin impact if competitors keep discounting and Northwind loses more than the $40M of annualized revenue it walked away from?

IN THEIR WORDS

> *"The softness in industrial demand that we flagged in July did not stabilize. It deepened."*
> DANA WHITFIELD, CEO

> *"If yield settles in the mid-4s and wages stay near 6%, we need productivity and density gains to close that gap, and density is exactly what a volume decline takes away."*
> MARCUS LEE, CFO

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